

11 Behaviour of the markets

7 primary questions | Oldest to newest

2026 objectives: 2.3.2-2.3.4

6 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 September 2005 Q8	26 marks
CA1-P1 April 2006 Q4	7 marks
CA1-P1 September 2007 Q2	6 marks
CA1-P1 April 2009 Q6	23 marks
CA1-P1 April 2014 Q3	12 marks
CA1-P1 April 2017 Q5	20 marks
CA1-P1 September 2018 Q3	12 marks

CA1-P1 | September 2005 | Q8

[Current topic](#) | [26 marks total](#) | [Original PDF](#) p3

Related: Ch 9.

- 8** A developed country has moved into recession in the last year. In order to boost growth the central bank has lowered short-term interest rates substantially over the last few months.
- (i) Discuss how economic growth, the exchange rate, and inflation in this country might develop over the next two years. [15]
 - (ii) Discuss how these developments are likely to affect the level of equity and commercial property markets. [11]
- [Total 26]

CA1-P1 | April 2006 | Q4

[Current topic](#) | [7 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 4** An investment management company operates a wide range of funds investing in different types of securities. In the last twelve months new investments into its corporate bond fund have increased rapidly compared with new investments into its other funds.

Discuss possible reasons why this may have occurred.

[7]

CA1-P1 | September 2007 | Q2

Current topic | 6 marks total | Original PDF p2

Related: Ch 9.

- 2** Evidence suggests that a significant proportion of the price movements of many shares traded in a domestic equity market can be attributed to overall market movements rather than features of the specific companies.
- (i) Explain why this may be the case. [4]
- (ii) Give four examples of types of companies whose share price movements may be significantly influenced by conditions in overseas economies. [2]
- [Total 6]

CA1-P1 | April 2009 | Q6

[Current topic](#) | [23 marks total](#) | [Original PDF p4](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 6** The central bank of a developed country has reduced short term interest rates.
- (i) Explain why the central bank may have taken this course of action. [9]
- (ii) Discuss how a reduction in short term interest rates would affect the following types of investments that are domestic to the developed country:
- Government bonds
 - Corporate bonds
 - Equities
 - Property

[14]

[Total 23]

CA1-P1 | April 2014 | Q3

[Current topic](#) | [12 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 3** The government of a country has changed its economic policy with the aim of reducing its exchange rate relative to other currencies.
- (i) Explain how the government can influence exchange rates. [7]
- (ii) Describe the expected impact on the economy from a reduction in its exchange rate relative to other currencies. [5]
- [Total 12]

CA1-P1 | April 2017 | Q5

[Current topic](#) | [20 marks total](#) | [Original PDF p3](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 5** A highly developed economy has been in recession for a number of years, with interest rates and inflation at historically low levels.

The central bank has warned that interest rates will rise in the short term.

- (i) Outline two reasons why the central bank is intending to increase rates. [4]
 - (ii) Discuss the impact this could have on the level of:
 - (a) the equity market.
 - (b) the bond market.[10]
 - (iii) Describe factors other than interest rates which could influence the country's investment markets and explain the impact each would have on equity markets. [6]
- [Total 20]

CA1-P1 | September 2018 | Q3

[Current topic](#) | [12 marks total](#) | [Original PDF p2](#)

September 2018 main paper, recovered from the supplied archive; the extracted folder had contained the spare paper under this date. Related: Ch 3.

- 3** (i) List the non-economic factors that affect the demand for different asset classes. [6]

A country's economy is just starting to develop, and regulations are being put in place for the first time on the allowable asset classes that can be held by financial institutions.

- (ii) Suggest, with reasons, why these regulations are likely to be prescriptive. [2]

- (iii) Discuss how these regulations might affect market prices of allowable, and non-allowable, asset classes. [4]

[Total 12]